NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(Video Conference)

PRESENT: JUSTICE TELAPROLU RAJANI – MEMBER JUDICIAL
ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 27.06.2022 AT 11.00 AM

TC/CP. Nos.	CA/IA No.	Section/ Rule	Name of Parties
CP(CAA) No. 2/230/AMR/2022		230	PBL Logistics Pvt Ltd (Transferor Co.) PBL Transport Corporation Pvt Ltd (Transferee Co.)

Counsel for Petitioner(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

Counsel for Respondent(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

ORDER

CP(CAA) No. 2/230/AMR/2022 is allowed, vide separate orders.

Sd/-

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH AT MANGALAGIRI

CP (CAA) No.02/230/AMR/2022
Connected with
CA (CAA) No.08/230/AMR/2021

In the matter of Section 230 to 232 of the Companies Act, 2013
AND
In the matter of Scheme of Amalgamation of **P.B.L. LOGISTICS PRIVATE LIMITED**, the Transferor Company (having its registered office in Andhra Pradesh) by **P.B.L.TRANSPORT CORPORATION PRIVATE LIMITED**, the Transferee Company (having its registered office in Andhra Pradesh)

In the matter of

M/s. P.B.L. Logistics Private Limited,
D.No.47-10-13, First Floor, Rednam Plaza,
II Road, Dwarakanagar,
Visakhapatnam -530016.

... Petitioner/Applicant/Transferor Company

AND

M/s. P.B.L.Transport Corporation Private Limited,
D.No.47-10-13, First Floor, Rednam Plaza,
II Road, Dwarakanagar,
Visakhapatnam -530016

... Petitioner/Applicant/Transferee Company

Date of pronouncement of order: 27.06.2022

CORAM

Justice Telaprolu Rajani, Member Judicial

S.d/-

Appearance:

For the Petitioners: Mr. Santosh Jagtap &
Mr.A.V.V.S.S.CH.B.Sekhar Babu, PCS

Per: Justice Telaprolu Rajani, Member (Judicial)

ORDER

1. The present Company Application is filed by M/s. P.B.L. Logistics Private Limited (Transferor Company) and M/s. P.B.L. Transport Corporation Private Limited (Transferee Company) under Sections 230 & 232 of the Companies Act, 2013 seeking to permit the Transferor Company for Scheme of Amalgamation (the Scheme for short) with the Transferee Company. Both the Transferor Company and Transferee Company registered offices are situated at Andhra Pradesh.

2. Briefly the facts are as follows:

   i. The Authorised Share Capital of the Petitioner/Transferor Company as on 31.03.2020 is Rs.1,00,00,000/- divided into 10,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid up share capital is Rs.16,00,000/- divided into 1,60,000 equity shares of Rs.10/- each. The main objects of Transferor Company are to carry on the business of Logistic services and operations dealing with transportation, procurement, load,

S.d/-

unload, store, consign, distribute, transfer and deliver goods, wares, merchandise, parcels, packages, baggage, freight, livestock, steel, timber, coal, oil, ores & other allied activities, .

ii. The Authorised Share Capital of the Transferee Company as on 31.03.2020 is Rs.5,00,00,000/- divided into 50,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid up share capital is Rs.2,72,00,000/- divided into 27,20,000 equity shares of Rs.10/- each. The main objects of Transferee Company are to transportation and handling of all kinds of materials, oils, gases, etc., within and outside India, by road, rail, air or sea by using trailers, trucks, cranes, tempos, vans, buses, railways, ships, steamers, barges, boats, aero planes, helicopters and the like, either, owned, leased or acquired by any other means.

iii. The Transferor Company is a subsidiary company of the Transferee Company and both the companies are closely held companies and are under the same management. The entire shareholding in both these companies is directly or indirectly held by the common set of shareholders and on the basis of extensive discussions, meetings and consultations between the members of the Board of Directors of the companies and other professionals it has been decided to take appropriate steps to carry on effectively and efficiently the business of both the Petitioner

S.d/-

Companies under one roof by amalgamation of both the Companies in the larger interest of the shareholders, creditors and employees, etc. In order to have a better, efficient and economical management control and running of the business undertakings for administrative convenience and to have economies of large scale operation, it has been proposed to amalgamate both the Companies and further there will be a reduction in administrative costs and it would also result in reduction of overheads and redundancies would also be eliminated. The Board of Directors of Petitioner Companies, at their respective meetings held on 12.10.2020, have resolved to merge both the Companies pursuant to a scheme of amalgamation and arrangement between the Transferor and Transferee Companies.

iv. The Board of Directors of the Petitioner Companies approved their scheme at their respective board meetings held on 12.10.2020. The appointment date is 01.04.2020. Consent, by way of Affidavit and No Objection to the Scheme supported by Board, was also obtained from all the Equity Shareholders, Secured and Un-Secured Creditors of the Petitioner Companies.

v. The Tribunal by order dated 28.10.2021 dispensed with the requirement of holding meetings of all Equity Shareholders, Secured & Unsecured Creditors of the Petitioner Companies. The

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scheme of arrangement was approved by the board of directors and others.

3. Heard the Learned Counsel appearing for the Petitioner, RD and OL and perused the records.

4. The Regional Director (RD) filed his report dated 11.05.2022 and raised the following objections and the Petitioner Company replied to the same as detailed below:

S.No.	RD's Observations	Reply of the Petitioner Companies by way of affidavit dated **09.05.2022**
1	The Directorate has received letter dated 21.04.2022 from the ROC, Andhra Pradesh by pointing out certain observations as under:- a) The Regional Director (RD) sought this Tribunal to direct the Petitioner Company to preserve its books of accounts and papers	Undertaking regarding preservation of books, statutory compliance and authorised share capital of the Transferee Company given by the Managing Director of Transferee Company: 1. To preserve the books of accounts, papers and records of both the Petitioner Companies

S.d/-

	and records and shall not be disposed of without the prior permission of the Central Government in terms of Section 239 of the Companies Act, 2013.	and not to dispose of them without the prior permission of the Central Government in terms of Section 239 of the Companies Act, 2013. 2. To ensure statutory
	b) The Regional Director (RD) sought this Tribunal to direct the Petitioner Company to ensure statutory compliance of all applicable laws and also on sanctioning of the present scheme the applicant company shall not be absolved for any of its statutory liability in any manner.	compliance of all applicable laws and also on sanctioning of the present scheme the applicant company shall not be absolved for any of its statutory liabilities in any manner. 3. To file confirmation of the scheme of amalgamation in Form INC-28 with the RoC, AP within the specified time period.
	c) The Regional Director (RD) sought this	

S.d/-

	Tribunal to direct the Petitioner Companies, involved in the scheme to comply with Rule 17(2) of Companies (Compromise, Arrangement and Amalgamation) Rules, 2013 with respect to filing of order for confirmation of scheme to be filed in Form No.INC-28 with the concerned office of RoC by the Petitioner Companies.	4. To file an application with the RoC, AP indicating the revised authorised capital and proof of paying prescribed fees due on revised after setting off the fee already paid by the Transferor Company 5. To confirm that No objection certificate have been submitted against the open charges existed as per the auditors certificate certifying the list of creditors as on 12.10.2020.
	d) The Regional Director (RD) sought this Tribunal to direct the Petitioner Transferee Company to file an application with RoC indicating the revised	

S.d/-

	authorised capital and proof of paying prescribed fees due on revised capital after setting of that fee already paid by Transferor Company.	
2	The Regional Director (RD) sought this Tribunal to direct the Petitioner Companies to furnish an undertaking that as and when the demand arises from the Income Tax Department, Transferee Company is ready to pay the said dues, as per rules.	
3	Further the Regional Director (RD) sought this Tribunal to direct the Petitioner Companies to amend the appointed date from 01.04.2020 to	

S.d/-

	01.04.2021 and furnish the amended scheme duly certified by the Directors of both the Companies before the scheme is allowed.	
4	Further the Regional Director (RD) sought this Tribunal to direct the Petitioner Companies to amend the scheme suitably by removing the clause relating to change of name of the Transferee Company to that of the name of Transferor Company and to submit the amended scheme duly certified by both the Companies before the scheme is allowed.	

5. The Regional Director (RD), after considering the said reply by the Petitioner, did not raise any further objection. The Official Liquidator (OL) made certain observations and the Petitioner Company has filed reply to the report of the Official Liquidator (OL) which is as follows;

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S.No	Observations of Official Liquidator filed on 16.03.2022	Response of the Petitioners Companies filed on 22.04.2022
1	Clause 1.4 of Part-I of the Scheme dealing with "Record Date" leaving it as undetermined and seeking to vest entire power to fix the Record Date completely with the Board of Directors of Transferee Company alone without the involvement of Transferor Company. This Tribunal may be pleased to direct the Transferee Company to submit an undertaking to this Tribunal to the effect that the Record Date would be decided and fixed mutually by the Board of Directors of both the Companies immediately after sanction of the scheme and before dissolution of the Transferor Company on effective date.	Undertaking regarding Record Date given by the Managing Director of Transferee Company: 1. Undertaking to the effect that the Record Date as mentioned in Clause 1.4 of Part-I of the scheme would be decided and fixed mutually by Board of Directors of Petitioner Companies immediately after sanction of the scheme by this Tribunal and before
2	The Scheme proposed changes of name of Transferee Company to	

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	"P.B.L.Logistics Private Limited" consequent to merger.	dissolution of Transferor Company on effective date has been given on behalf of the Transferee Company.
3	Clause 10.2 (b) of Part-III of the scheme provides for clubbing of authorised capital. However, as per the clause, the authorized capital of the Transferee Company shall automatically stand increased without any further fees/stamp duty payable to the RoC. This term in the scheme is not in line with the provisions of Section 232 (3) (i) of the Companies Act, 2013. In this regard, Transferee Company shall comply with the provisions of the aforementioned section and pay the difference fee, if any, after setting off the fee already paid by the Transferor Company on its respective capital.	
4	The Transferor Company is a subsidiary of the Transferee Company as per the list of	

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	shareholders provided by the Transferor Company. Further the other shareholders are holding 31.88% of shares in Transferor Company to whom the shares of Transferee Company were allotted as per the valuation report.	
5	Clause 11 of the scheme is silent on any specific accounting treatment for the merger of Assets& Liabilities of the Transferor Company.	
6	As per Annexure A to the Independent Auditors' Report dated 08.09.2021 of the Transferor Company, the Transferor Company has not accepted any deposits during the year.	
7	As per the balance sheet as at 31.03.2021, the Transferor Company is loss making company getting merged in profit making Transferee Company. Hence, the	

S.d/-

	Income Tax implication due to merger needs to be examined by the Income Tax Department.	
8	The Transferor and Transferee Companies are closely held having mostly common shareholders.	
9	There are no proceedings pending under the provisions of the Companies Act, 2013 against the Petitioner Companies as per the information provided them on 13.01.2022.	

6. Finally the Official Liquidator (OL) did not raise any objections against accepting the merger scheme of the Petitioners Companies.

7. Considering the entire facts and circumstances of the case and on perusal of the Scheme, reports of the Regional Director, Official Liquidator, and reply/undertakings of the Petitioner Companies thereon and the documents produced on record, the Scheme of Amalgamation appears to be fair and reasonable and is not contrary to public policy and not in violation of any provisions of law. All the statutory compliances have been made under Section 230 to 232 of the Companies Act, 2013.

S. d/-

8. The Company Petition is allowed with the following directions:-

a) The Scheme of Amalgamation (Copy of the Scheme enclosed at Page No.240 to 279 of the Petition)is hereby sanctioned and it is declared that the same shall be binding on the Petitioner Companies and their respective Shareholders and Creditors, Employees and all concerned under the Scheme.

b) The Scheme shall become effective from the Appointed Date i.e., 01.04.2020 and shall be made operational from the date of filing of the orders with the Registrar of Companies.

c) While approving the Scheme as above, it is further clarified that this order will not be construed as on order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

d) The Petitioner Companies are directed to preserve their books of accounts and papers and records and not to dispose of without the prior permission of the Central Government in terms of provisions of Section 239 of the Companies Act, 2013.

S.d/-

e) All concerned authorities to act on a copy of this order along with the Scheme duly authenticated by the Registrar of this Tribunal. The Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme immediately.

f) The Petitioner Companies are directed to take appropriate steps to submit the said Scheme to Registrar of Companies within 30 days from the date of receipt of copy of this order.

g) The Petitioner Companies are directed to issue newspaper publication with respect to approval of Scheme of Amalgamation, in the same newspaper in which previous publications were issued in order to ensure transparency/dissemination of complete information to all concerned parties about the approval granted by the Tribunal for the Scheme as proposed.

h) The Petitioner Companies are further directed to take all consequential and statutory steps required in pursuance of the approved Scheme of Amalgamation under the provisions of the Act.

i) The Petitioner Companies are also directed to strictly comply with all the Undertakings given by them including those with regard to payment of due taxes and other statutory dues as mentioned in foregoing paragraphs of this order.

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j) The Petitioner Companies are directed to strictly adhere to the above directions and applicable provisions of the Companies Act.

9. Accordingly, the Scheme stands sanctioned and the Company Petition bearing CP (CAA) No.2/230/AMR/2022 stands disposed of.

S.d/-

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

Swamy Naidu